

the DAI savings rate by using the protocol, and more technologically and financially sophisticated users can use the MakerDAO web portal to generate vaults and create DAI to get liquidity from their assets without having to sell them. It is easy to sell DAI and purchase an additional amount of the collateral asset to get leverage.

A noteworthy drawback to DAI is that its supply is always constrained by demand for ETH-collateralized debt. No clear arbitrage loop exists to maintain the peg. For example, the stablecoin USDC is always redeemable with no fees by Coinbase for \$1. Arbitrageurs have a guaranteed (assuming solvency of Coinbase) strategy in which they can buy USDC at a discount or sell it at a premium elsewhere and redeem on Coinbase. This is not true for DAI. Irrespective of any drawbacks, the simplicity of DAI makes it an essential building block for other DeFi applications (Table 6.1).

Table 6.1 The Problems That MakerDAO Solves

Traditional	
Finance Problem	MakerDAO Solution
<i>Centralized control:</i> Interest rates are influenced by the U.S. Federal Reserve and access to loan products controlled by regulation and institutional policies.	MakerDAO platform is openly controlled by the MKR holders.

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